

Handout 7.6: Four Questions and Profit Example

Name: _____ Date: _____ Period: _____

Unit 7, Lesson 7.6. Use a calculator. Everybody may, all period.

Part 1: The four questions every business has to answer

#	The question	What it means
1	What _____?	Something that is wrong, hard, or annoying for a real person.
2	Who _____?	A specific kind of person, not “everybody.”
3	What do you _____?	The thing you make (a product) or the work you do (a service).
4	What does it _____, and what do you _____?	Cost is what you spend. Price is what you charge.

Product or service? Write one of each from your own work this year.

A **product** I made this year: _____

A **service** I could do for somebody: _____

Customer means the person who _____. It is not always the person who _____.

Part 2: The problem behind five real businesses

Work in your team. Fill in five rows in five minutes. Write one sentence in each box. Move fast.

Business	What problem does it solve?	Who has that problem?
A barber shop		
A phone repair counter		
A school bus company		
A bakery		
A lawn mowing crew		



Ask this for every row: (a) Would somebody pay to make that problem go away? (b) About how much?

Part 3: Revenue, cost, and profit. One clean example.

The class T-shirt.

One shirt

Line	Amount
Blank shirt	\$4.00
Printing	\$2.50
What it costs to make ONE shirt	\$_____
What you charge for one shirt	\$12.00
Profit on ONE shirt (\$12.00 minus your cost)	\$_____

Forty shirts, and you sell all forty

Line	Math	Amount
Revenue (money in)	40 shirts times \$12.00	\$_____
Cost (money out)	40 shirts times \$6.50	\$_____
Profit	revenue minus cost	\$_____

Write the formula from memory:

_____ minus _____ equals _____

Now it goes wrong. You ordered 60 shirts and you only sold 40.

Line	Math	Amount
Revenue (you only sold 40)	40 times \$12.00	\$_____
Cost (you paid for 60)	60 times \$6.50	\$_____
Profit	revenue minus cost	\$_____

What happened? Write one sentence.

Line 1: _____

Line 2: _____

Hold up your answer for the 60-shirt profit on the count of three.

Part 4: Business or hobby?

A **hobby** costs you money. You do it because you like it. A **business** brings in more money than it costs. Somebody else decides whether it is worth paying for.



A hobby is not worse than a business. Most of what makes life good is a hobby. This is a question about money, not about worth.

Vote on each one. Then write your decision. Your reason must use one of the four questions **and at least one number**.

#	The situation	Business or hobby?	Why? Use a question number (1 to 4) and at least one number from the situation.
a	A student bakes cookies for their family every Sunday.		
b	A student bakes cookies and sells them at a school event for \$1.00 each. They cost 35 cents to make.		
c	A student makes bracelets, gives them away, and spends \$30.00 a month on string.		

For situation b: if they sell 40 cookies, what is the profit?

Revenue: 40 times \$1.00 = \$_____ Cost: 40 times \$0.35 = \$_____ Profit: \$_____

Exit card

Fold over and hand in.

Name: _____

1. One real problem you saw this week that somebody would pay to have solved. Then who would pay:

Problem: _____

Who would pay: _____

2. The profit formula, from memory:

Line 1: _____

Word bank

English	Spanish
entrepreneur	emprendedor
business	negocio
problem	problema
customer	cliente
product	producto
service	servicio
revenue	ingresos
cost	costo
profit	ganancia (beneficio)

Sentence frames: “The problem is . ***The person who has it is .***” / “Revenue minus cost equals profit.”